

it. Remember also that major market collapses are rarely experienced as unmistakable unidirectional trends. Although years after the fact, historians will detachedly describe the violence and speed of a crash, financial implosions often *feel* as if they are occurring in slow motion as they happen, which is why it takes time for people to become alarmed enough to take defensive action. It is the old story that if you place a frog in a pot of cool water and heat it slowly, he won't notice he is being cooked until it is too late. With each passing month, keep in mind this comment from stock market historian John Brooks about the 1929-1933 experience:

[It] came with a kind of surrealistic slowness...so gradually that, on the one hand, it was possible to live through a good part of it without realizing that it was happening, and, on the other hand, it was possible to believe one had experienced and survived it when in fact it had no more than just begun.

Your salvation in this environment will not be diversification, but extreme and intelligent selectivity. Put your energy into choosing the strongest financial institution (preferably outside the U.S. banking system), the strongest currency (which may include the U.S. dollar for a time), and identifying the shortest term government bills available in that currency. Such investments will let you avoid devastating losses and in fact earn steady interest and further build your capital. As the Great Bear Market unfolds, you will be as if floating overhead in a balloon, unaffected, watching a slow motion earthquake take place below. In doing so, you will find yourself prospering mightily on a relative basis, as almost by default you will be participating in the coming Great Bull Market in *cash*. If you invert the charts of stocks and bonds during this time, you can watch the rising value of that cash. Once you are safely positioned, put some additional time and effort into planning *contingencies* for the safety of your capital, your income and your well being in case you have to move your assets again. The worst economic and social problems are a number of years away, but advance planning is incalculably better than trying to react when it is too late.

The same thing is true of business planning. Despite assurances that "the recession is over," you must avoid business expansion (unless you have a special situation) until the bottom is truly at hand. That is when, against the extreme rush and weight of the consensus tide, you can purchase productive assets and gear up for the next business boom.